Commentary 1
Title: Sugar increase in Fanta and Sprite prompts calls for new tax on Australia's food and drinks industry
Link:
https://www.theguardian.com/australia-news/2024/apr/10/sugar-increase-in-fanta-and-sprite-prompts-calls-for-new-tax-on-australia-food-and-drinks-industry
Date accessed: April 21, 2024
Source: The Guardian
Publication date: April 10, 2024
Date of commentary: June 3, 2024
Word count: 800
Unit of the syllabus: Unit 2: Microeconomics
Key concept: Efficiency

Article:

Sugar increase in Fanta and Sprite prompts calls for new tax on Australia's food and drinks industry

Health experts say government must step in to cut sugar in beverages and tackle manufacturers' 'appalling' behaviour

Melissa Davey *Medical editor*
Wed 10 Apr 2024 09.49 BST

An increase in sugar in two popular soft drink brands has prompted health experts to renew calls for laws to cut the sugar in beverages, and to tackle "appalling" behaviour from the food industry.

In July 2020, the government began rolling out the "partnership reformulation program" to encourage food companies to gradually reduce sugar, sodium and saturated fats in their products. The program is entirely voluntary.

The Australian Beverages Council also announced a pledge to reduce the sugar in beverages by 20% by 2025, and encouraged the non-alcoholic beverage industry to sign up. Just four manufacturers have signed up since 2018.

On Wednesday News Corp revealed that despite initially signing up to the pledge and reducing the sugar content of the soft drink Fanta to 4.5 grams per 100ml in 2021, the manufacturer of the drink, Coca-Cola, has since increased the sugar content to 7.2 grams per 100ml.

It means one 600ml bottle would bring people to close to World Health Organization recommendations that state adults should consume no more than 50 grams of sugar a day, and ideally no more than 25 grams for better health.

When contacted by Guardian Australia for comment, a spokesperson for Coca-Cola Australia said the drink Sprite also now contains 6.9 grams of sugar per 100ml. This is up from 4.9 grams in 2021.

"We are proud of the progress we have made to date around reducing sugar within our portfolio but know there is more work to do," she said. "We will continue to invest in our zero sugar range, develop new low and zero sugar products and introducing smaller pack sizes."

The president of the Australian Medical Association, Prof Steve Robson, said the increase is evidence governments need to step in and impose a sugar tax on the food and beverage industry.

“The industry’s sugar reduction pledge to reformulate isn’t working … with only four manufacturers signing up,” he said.

More than 100 countries and jurisdictions have implemented some form of tax on sugary drinks. Research has found implementing a 20% tax on sugar-sweetened beverages in Australia could result in 4,400 fewer cases of heart disease, 16,000 fewer cases of type 2 diabetes, and 1,100 fewer strokes over 25 years.

“This is money that could be invested into crucial health promotion campaigns, reducing pressure on our stretched health system,” Robson said.

The Cancer Council, Heart Foundation, Food for Health Alliance and Australian Dental Association all support a tax on the manufacturers of sugary drinks.

Dr Adyya Gupta, from Deakin University’s Global Centre for Preventive Health and Nutrition, said the sugar increase in Fanta was “very appalling, given that we understand sweetened beverages are amongst the key contributors to an unhealthy diet”.

“It’s absolutely appalling to see that it’s increased,” she said. “An Australian adult is consuming about 58 to 60 grams of sugar per day, with sugar sweetened beverages the largest source.”

Along with a sugar tax, the government needs to prioritise health in trade agreements and policy; better regulate advertising and improve food labelling; and strengthen dietary guidelines, Gupta said.

“Obesity is a complex problem and needs a suite of policies in order to have a significant impact on the health of the whole population,” she said. “I am totally against putting the onus on the individual because it’s just impossible given everything has so much sugar in it, and improving the food environment means implementing measures holding the industry to account.”

Commentary:

The article addresses the increased burden on Australian health costs in treating diseases associated with the overconsumption of renowned sugary drinks. The consumption of such demerit goods, which are undesirable for consumers and overallocated in the market exemplifies market failure when the market fails to achieve allocative **efficiency**, where marginal social benefit equals marginal social cost. A negative consumption externality is created where marginal private benefits exceed marginal social benefits, causing negative side effects on third parties such as increased health costs. It is assumed that sugary drinks are addictive since sugar acts as an addictive agent.

The overallocation of sugary drinks relative to the social optimum results in allocative **inefficiency**. Therefore, a sugar tax is proposed to correct the market failure and allocate sugary drinks more **efficiently**.

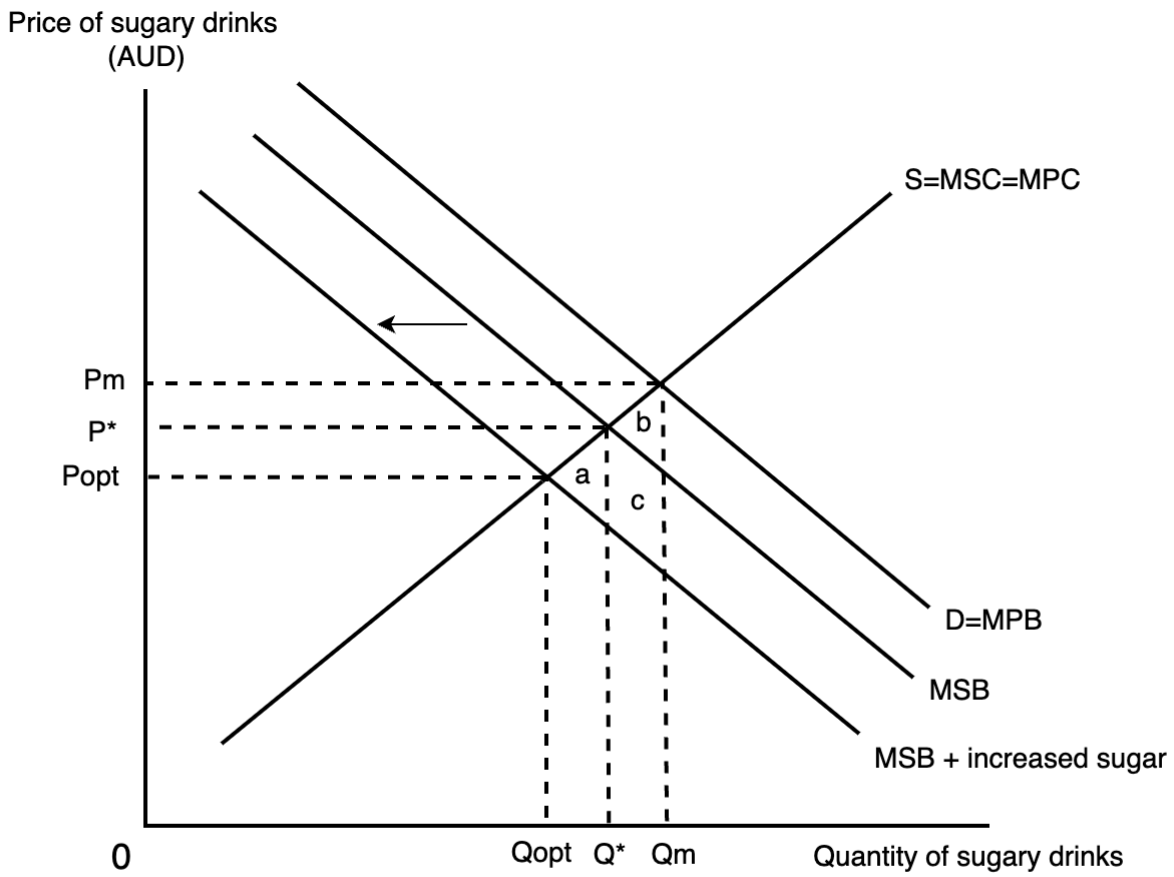

Figure 1. Rising sugar level exacerbates negative consumption externality

In Figure 1, the initial state of marginal private benefit (MPB) exceeding marginal social benefit (MSB) due to the external cost, health care expenditure, indicates a negative consumption externality, resulting in allocative **inefficiency** where Qm (market quantity where MPB=MPC) exceeds Q* (original socially optimum quantity where MSB=MSC). The "reformulation program" led the manufacturers of sugary drinks to increase sugar levels in beverages. This decreases MSB from MSB to (MSB+increased sugar) because the optimal consumption per quantity of sugary drinks has decreased as sugar levels increase. The marginal external cost increases from (MPB−MSB) to [MPB−(MSB+increased sugar)] since consuming a sugary

drink containing more sugar increases the risk of diseases. The welfare loss increases from area (b) to (a+b+c) as the burden on the health costs increases. While the social optimum equilibrium changes from (Q* , P*) to (Qopt , Popt), the market equilibrium stays at (Qm , Pm) since the quantity supplied remains unchanged. Allocative **inefficiency** is exacerbated as more sugary drinks are overallocated at the market quantity Qm from the socially optimum quantity Qopt.

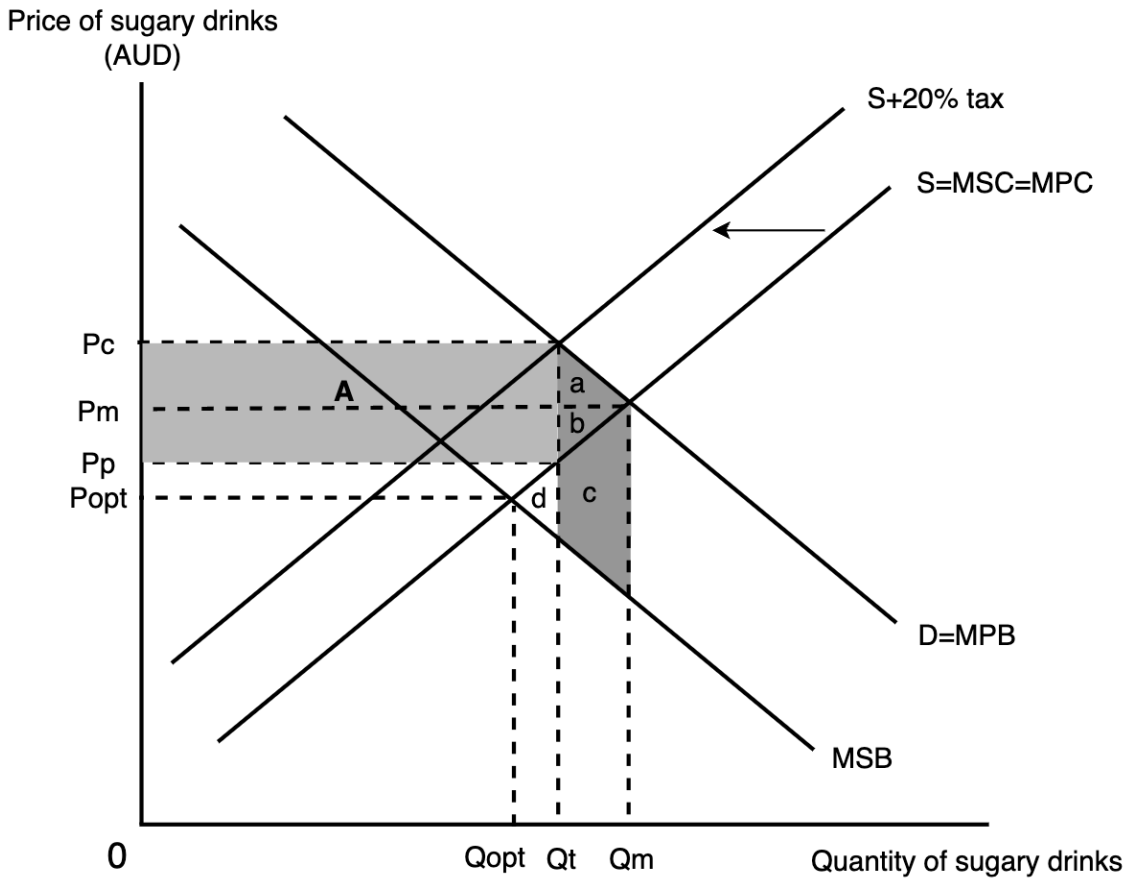

Figure 2. 20% tax on sugary drinks to resolve negative consumption externality

The indirect tax on sugary drinks is suggested to improve allocative **inefficiency**. In Figure 2, a 20% tax decreases the supply of sugary drinks from S to S+20% tax. Since firms only receive the price of Pp, their revenues decrease from (Qm×Pm) to (Qt×Pp). As consumers pay higher

prices at Pc, the quantity demanded decreases from Qm to Qt. The sugary drinks are allocated more **efficiently** as the market quantity approaches Qopt. The tax discourages the consumption and production of sugary drinks, which reduces the external costs derived from “heart diseases”, “type 2 diabetes”, and “strokes”, eliminating the shaded area (a+b+c).

Although the welfare loss decreases from (c+d) to (d), the government struggles to fully eliminate it since taxation may internalize the externality only partially due to technical difficulties in measuring the theoretical value of the external costs; S+20% tax allocates resources at Qt instead of Qopt, failing to achieve allocative **efficiency**. Furthermore, indirect tax does not directly reduce the amount of sugar in beverages, which requires regulations on sugar reduction.

The sugar tax disadvantages certain stakeholders in the short and long run. Consumers addicted to sugar need to pay higher prices to consume sugary drinks, increasing its opportunity cost. Theoretically, tax incentivizes consumers to change their consumption patterns by consuming less sugary drinks in the long term. However, consumers may switch to cheaper sugary substitutes, which hinders the effectiveness of the tax on changing consumption patterns.

Producers are disadvantaged in the short run as the price they receive and quantity produced fall, decreasing their revenues. The employees are worse off since fewer workers are required when the quantity supplied decreases, leaving them unemployed. In the long run, although the firms may switch to other types of production to reduce the tax burden, the workers may remain unemployed since training for new jobs requires time.

The government benefits since increased tax revenue (area A) could be invested in developing "low and zero sugar products" to prevent consumers from switching to alternative sugary products. While a tax could theoretically establish allocative **efficiency** by incentivizing consumers and producers, the long-term tax on both stakeholders is politically unfavorable in a democratic country, preventing the government from imposing it. Also, assuming the demand for sugary drinks increases in the long term, firms are not effectively incentivized to reduce sugar content because they are willing to produce what consumers most demand to maximize their profits. This could form a black market, which challenges the government to maintain the effectiveness of the tax in the long term.

While taxation reduces external costs and allocates sugary drinks more **efficiently** by motivating consumers and producers, its effectiveness could be limited in the long run. Since health deterioration such as obesity is a complex problem, other solutions along with the sugar tax are subsidizing sugar-free products, enforcing regulations to restrict sugar content in production, and promoting health "campaigns" to raise awareness for a long-term effect.

Word count: 800